BLOCK 6

GLOBALISATION

BLOCK INTRODUCTION

This block is on **Globalistaion**.

It has three units, i.e., Unit 13 - **Multilateral Trading System: Development and Challenges**, Unit 14 – **Regional Trading Agreements** and Unit 15 – **India and Multilateral Trading System**.

Unit 13 provides the understanding of the history and present status of multilateral trading system in terms of GATT, WTO rounds. WTO negotiations have failed in certain aspects in the past and hence the unit proceeds towards explaining the reasons of failed negotiations. At the end, a way forward is provided.

Unit 14 throws light on the regional aspect of trading agreements. It explains the basic characteristics of such agreements and then discusses the types of regional trading agreements, preferential trading arrangements, free trade area and customs union to name a few. For better understanding of such agreements, a brief history of the evolution of regional agreements is also presented in the unit. The relevance of such regional agreements has been explained through gains (static and dynamic) received from such agreements. To move further, the equilibrium structure of regional trading agreements has been discussed in terms of horizontal expansion, vertical expansion and simultaneous expansion.

Unit 15 provides us with the understanding of how India is placed in these multilateral trading systems. Basically, this unit explains the agreements of which India is an integral part e.g., Asia-Pacific Trade agreement, ASEAN-India free trade area, SAFTA. Apart from these agreements, the unit highlights the contribution of India in WTO and how India has transformed itself with the change of GATT towards WTO regime. Agriculture sector in terms of subsidies and other policy initiatives in context of trade has been discussed at the end of the unit.

UNIT 13 MULTILATERAL TRADING SYSTEM: DEVELOPMENT AND CHALLENGES*

Structure

13.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain multilateralism;
- present the history and evolution of GATT;
- discuss the issues and negotiations of the Uruguay round of negotiations;
- list the achievements of the Uruguay round of negotiations;

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- discuss the various WTO rounds of negotiations;
- elucidate the changing nature of WTO negotiations;
- identify the reasons for the failure of the Doha round of WTO negotiations;
- analyze the relationship between regionalism and multilateralism; and
- discuss the future prospects of multilateralism.

13.1 INTRODUCTION

The establishment of the General Agreement on Tariffs and Trade (GATT) in 1947 heralded the advent of a multilateral trading system in the world economy. Before that, there were instances of economic cooperation among nations (for example, the bilateral agreement between Belgium and Luxembourg in 1921); however, such agreements were predominantly regional in nature. Multilateralism can be broadly defined as an understanding between multiple countries (three or more according to the definition proposed by Robert Keohane) to achieve a common goal. In this unit we would stick to the idea of multilateral trade liberalization and economic cooperation as the common goal.

We start with a brief discussion of the GATT and its chronological phases. Then we spend some time understanding the nuances of the Uruguay Round of GATT negotiations, the birth of the World Trade Organization and the achievements of the Uruguay Round. The next section is dedicated to the important rounds and ministerial conference of the WTO negotiations. We would then move on to understand the drawbacks of the multilateral negotiations and the reasons for the failure of the WTO rounds, particularly the Doha round. Towards the end, we would introduce the debate over whether regionalism acts as the "stumbling blocs" or "stepping stones" to multilateralism and try to analyze the way forward for multilateralism.

13.2 GENERAL AGREEMENT ON TARIFFS AND TRADE

After World War II, the United States emerged as the economic and political superpower and became proactive in creating a new international economic system. However, the major bone of contention that continued between the USA and the UK was preferential treatment to trading partners. Agreement between the two was reached with the formulation of the "Charter for the International Trade Organisation". According to the Charter, it was agreed that existing preferential agreements would be excluded from the "general rule", but the members must, by no means, increase trade restrictions and over time should negotiate with each other to not only reduce the restrictions but eliminate them altogether. The only condition under which trade restrictions could be imposed was to overcome balance-of-payment difficulties. The Economic and Social

Council of the United Nations called for a conference to establish the International Trade Organisation (ITO). Eighteen countries held four meetings during October 1946 and March 1948 and the Charter for an ITO was signed by 53 nations in March 1948.

The General Agreement on Tariffs and Trade (GATT) emerged as a by-product of the negotiations meant for the formulation of the ITO Charter. The idea was that, once the Charter comes into existence, GATT would automatically expire. The GATT was signed by 23 countries on October 30, 1947, during one of the meetings of the preparatory committee for the ITO held in Geneva, and entered into force on January 1, 1948.

The GATT was signed to establish a rules-based world trading system that would facilitate mutually advantageous trade. Baldwin (2016) identifies four phases of GATT based on the timing of GATT Rounds.

Phase 1 (1947 – 1960): The first phase of GATT rounds began with substantial tariff reduction in the 1947 inaugural Geneva Round. However, the previous rounds considered details of rules and accessions such as those of Germany (1951) and Japan (1955) and not tariff reduction. Moreover, tariffs were not the main trade hindrance to international trade in the 1950s. Instead, restrictions remaining from wartime, along with state trading and inconvertible currencies, were the binding constraints.

Phase 2 (1960 – 1972): The second phase of the GATT rounds was triggered by the European regional trade liberalization. The Dillon Round (1960-61) dealt with the tariff concessions European members had to make to other GATT members in compensation for the formation of their customs union. The Kennedy Round (1963-1967) was basically an effort by the United States, Japan and other large exporters to compensate for the trade diversion ensuing out of the European customs union. There was substantial reduction in tariffs in the developed nations by 1967. This was due to both GATT and non-GATT steps like elimination of tariffs across much of Europe, and the US-Canada Auto Pact of 1965. This was the phase when both regionalism and multilateralism thrived simultaneously. However, tariffs in low-income nations did not fall since GATT rules excused them from reciprocally cutting their tariff in GATT talks. This is an exception to the non-discrimination principle called "Special and Differential Treatment" for developing-nation members.

Phase 3 (1973 – 1979): This phase also witnessed simultaneous advancement in regionalism and multilateralism. The Tokyo Round of GATT coincided with the expansion of the European Union. Several political and economic factors emerged soon after the launch of the Tokyo Round of negotiations. Developed countries experienced economic downturn and increasing difficulties with their balance of payments. Rising unemployment and inflation led them to think about bringing back protectionist trade policies and, as a result, trade liberalization seemed impossible and the negotiations almost reached a standstill.

Consequently, the developed countries agreed to focus on making world trade fairer rather than freer. It was recognized that tariffs were only one factor influencing international trade and put non-tariff measures in the spotlight of the negotiations. The negotiations on agriculture presented the greatest difficulty with the US and the EEC (European Economic Community) differing considerably at the onset. However, by July 1977 both parties reconciled their major differences regarding market access and subsidies. The Swiss formula, a mathematical (non-linear) formula which would cut high tariffs to a greater extent than lower tariffs, was adopted by the major participants and applied to a wide range of products. It was decided that most of the tariff cuts would be implemented in eight equal annual installments. Despite these reductions in tariff and non-tariff barriers, the Tokyo Round of negotiations fell short of expectations for the developing economies.

Phase 4 (Mid 1980s): In 1986, GATT members launched the Uruguay Round. The United States and Canada initiated a bilateral FTA (free trade agreement). The EU expanded to include Spain and Portugal while launching the Single Market Program. Effective tariffs fell gradually in the developed nations, mostly due to regional trading agreements rather than the multilateral negotiations. The developing nations also initiated regional trading agreements (RTAs) like MERCOSUR (Brazil, Argentina, Paraguay, Uruguay) and the South African Customs Union (SACU). Thus, this phase predominantly saw tariff reductions by developing countries – both with their regional trading partners and with the rest of the world.

13.3 THE URUGUAY ROUND

The Uruguay round was launched at Punta del Este, Uruguay, in September 1986. It ultimately led to the creation of the World Trade Organization (WTO). The WTO officially commenced on 1 January 1995 under the Marrakesh Agreement, signed by 123 nations on 15 April 1994, replacing the GATT.

13.3.1 The Negotiations and the birth of the WTO

In November 1982, a major new negotiation was intended at a ministerial meeting of GATT members in Geneva which stalled on agriculture and ended up in a failure. After four years of negotiations, the round was launched in September 1986, in Punta del Este, Uruguay. The negotiating agenda included almost every outstanding trade policy issues. Two years later, in December 1988, ministers met again in Montreal, Canada. The deadlock continued and the officials met again in April, 1989 at Geneva. Some concessions on market access for tropical products, aimed at assisting developing countries, were made. Further, a streamlined dispute settlement system and the Trade Policy Review Mechanism came into existence.

The ministers met once more in Brussels, in December 1990. But they disagreed on how to reform agricultural trade and decided to extend the talks. This time the multilateral negotiations were almost on the verge of collapsing. However, amount of technical work continued in the background leading to the first draft of a final legal agreement. This draft "Final Act" was compiled by Arthur Dunkel, the then GATT director-general, and tabled in Geneva in December 1991. The text fulfilled every part of the Punta del Este mandate, with one exception. It did not contain the participating countries' lists of commitments for cutting import duties and opening their services markets. The draft became the basis for the final agreement. Negotiations continued for the next two years. Apart from agriculture, services, market access, anti-dumping rules and the proposed creation of a new institution became the major points of disagreement, particularly between the US and the EU.

In November 1992, the US and the EU settled most of their differences on agriculture in a deal known informally as the "Blair House accord". By July 1993 the "Quad" (US, EU, Japan and Canada) announced significant progress in negotiations on tariffs and market access. The negotiations continued till 15 December 1993 till every issue, including market access for goods and services, was resolved. Finally, on 15 April 1994, the deal was signed by ministers from most of the 123 participating governments at a meeting in Marrakesh, Morocco and the World Trade Organization (WTO) came into existence.

13.3.2 Achievements of the Uruguay Round

According to the World Trade Report (2007), "the amount of ground covered by the Uruguay Round was impressive: twenty-five thousand pages detailed all aspects of the Agreement". The ten-page WTO Charter, that precedes the document, provides an "umbrella that embraces all parts" and "establishes the WTO as international organization and defines its functions and structure". Further, it contains four annexure –

Annex 1: the three major agreements, namely on goods (GATT 1994 and eighteen related agreements), services (GATS and Annex 1 B), and trade-related aspects of intellectual property rights

Annex 2: the Dispute Settlement Understanding

Annex 3: the Trade Policy Mechanism

Annex 4: four Plurilateral Agreements that only apply to those Members who signed them

The major achievement of the Uruguay Round in terms of tariff is that the developed countries agreed to cut their tariffs on industrial goods from an average of 6.3% to 3.8%, with most of the cuts to be phased in over five years starting from 1 January, 1995. Another major achievement was the increase in bindings of tariffs by all parties. Measured by the number of bound product lines, developed countries increased their percentage from 78% to 99%, transition economies from 73% to 98%, and developing economies from 21% to 73%. This increase was in some measure because all tariffs on agricultural goods were bound. The high percentage of bound tariffs culminated in a world trading system that is more stable and predictable.

The Uruguay Round was the first time that the multilateral trading system succeeded in covering agricultural trade in a substantive manner (World Trade Report, 2007). The programme for liberalizing agriculture was set for ten years. The approach was segmented into three categories – market access, domestic support and export subsidies. All agricultural tariffs were bound.

Another major achievement of the Uruguay Round was the Agreement of Textiles and Clothing. All the parties agreed to remove all quantitative barriers in this sector in the coming ten years.

Agreement on Safeguards provided more stringent rules on the temporary use of safeguard measures as well as dealing with compensation issues. In addition, it eliminated the use of so-called "grey-area" measures, such as voluntary export restraints (VERs). For the first time a definition of subsidies was established, and clearer rules and procedures were developed.

The new rules on anti-dumping further clarified the rules on the determination of dumping, the use of anti-dumping measures and causality between dumping and injury. Procedures for initiating and conducting anti-dumping investigations and implementation of anti-dumping measures were elaborated.

The Dispute Settlement System underwent a major overhaul in the Uruguay Round. All trade disputes between members were to be handled by the Dispute Settlement Body under the New Agreement with a more structured process and stricter deadlines to ensure prompt dispute settlement.

The Trade Policy Review Mechanism (TPRM) was introduced as an instrument to review trade policies and practices of WTO Members and thereby to contribute to improved adherence to WTO rules through greater transparency. Each review consists of two documents – a policy statement prepared by the government under review, and a detailed report written independently by the WTO Secretariat (World Trade Report, 2007).

Two very important results of the Uruguay Round were the establishment of the General Agreement on Trade in Services (GATS) and the Agreement on Trade-Related Intellectual Property Rights (TRIPS). The GATS was introduced for a freer and fairer trade in services among the WTO signatories. The GATS distinguished between four modes of services trade: cross-border trade (Mode 1), consumption abroad (Mode 2), commercial presence abroad (Mode 3), and movement of natural persons (Mode 4). The TRIPS Agreement covers copyright and related rights, trademarks including service marks, geographical indications including appellations of origin, industrial designs and patents. The Agreement is comprised of three main features – substantive intellectual property standards, domestic enforcement provisions and dispute settlement.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Briefly discuss the four phases of GATT.

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2) Explain how was WTO created and why?

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3) Highlight any three achievements of the Uruguay round.

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13.4 THE WTO ROUNDS

In this section, we will briefly discuss the different ministerial conferences and rounds of negotiations that occurred after the formation of the WTO.

13.4.1 The Singapore Ministerial Conference

The First WTO Ministerial Conference was held in Singapore during 9-13 December, 1996. Though the talk of a new round was already in the air (Chile was calling for the initiation of discussions to prepare for a new round of negotiations on agriculture), neither the Singapore Ministerial Conference, nor the Ministerial Round of Geneva were directly associated with the launch or conduct of the Doha Round.

The most important aspect of this ministerial conference is that it initiated discussions on what was later christened as the Singapore issues. It initiated debates on labour standards and the implementation of the Uruguay Round agriculture and textile agreements. Achievement of this conference included the near-completion of the Information Technology Agreement, adoption of the Comprehensive and Integrated Plan of Action to assist least-developed countries (LDCs) and the signing of a cooperation agreement with the International Monetary Fund.

There were differences among the developed and developing nations from the beginning in the WTO negotiations. Though some nations tried to bridge these gaps, the member nations predominantly clubbed together in a North-South fashion on nearly all the issues.

The four issues which were initially proposed by Sir Leon (England) were –

1) Information Technology Agreement and the telecommunications negotiations
2) Financial services
3) Picking up of new subjects like investment and competition
4) Labour standards and environmental protection

However, the issues (Singapore Issues) that prevailed were –

1) Investment
2) Government procurement
3) Competition policy and
4) Trade facilitation

Labour was the most controversial of all the issues. Most of the ministers had expressed some views on this issue at the Marrakesh Conference in 1994. However, not much had changed between that valedictory GATT ministerial and this inaugural WTO ministerial. Both the International Labour Organization (ILO) and the Organisation for Economic Co-operation and Development (OECD) had taken up the issue of trade and labour standards in between. However, this labour issue was not settled until the ministers decided on collaboration between ILO and WTO. On the one hand, the developed countries wanted to ensure legal compatibility between the multilateral environmental agreements (MEAs) and the WTO system. On the other hand, developing countries raised concerns over "green protectionism". Malaysia, for example, pointed out that the indiscriminate use of labelling schemes was instrumental in undermining developing countries' exports. Other developing nations proposed that the best means of addressing labour and the environment is indirect – through greater economic growth rather than direct instruments that may be abused for protectionism. Despite these divisions, the ministerial declaration took a more accommodating approach to the environment than it did to labour issues. The ministers agreed to establish the Committee on Trade and Environment as a permanent body of the WTO.

The Uruguay Round had earlier failed to meet the members' expectations on the investment issue. Dissatisfaction regarding the Trade-Related Investment Measures (TRIMs) led the developed nations to pursue a Multilateral Agreement on Investment in the OECD. Though negotiations were still underway at the time of the Singapore Ministerial Conference, they collapsed two years later.

The issue of competition policy was more complex. Countries failed to chalk out a single, accepted definition of the subject. It culminated with the formation of the GATS and the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement). Both the agreements contained provisions relating to fair conditions of competition and international cooperation to facilitate the control of anticompetitive practices.